



ILLUSTRATION BY **RAJ VERMA**

structure is expanding to keep pace. This is not a temporary rebound but a structural shift. For airlines, hotels, and allied services, this represents a multi-year growth opportunity. The risk factor here is that margins are vulnerable to fuel costs and competition. Also, many stocks have already priced this in.

FINANCIAL SERVICES

Perhaps the most profound shift is unfolding in how Indian households save. The tilt away from physical assets toward

financial products such as mutual funds, insurance, pension is unmistakable.

Banks, backed by stronger balance sheets, are entering a new credit cycle. Insurance companies are leveraging low penetration levels and rising risk awareness. Capital markets are seeing record participation from retail investors across asset classes. For those considering this theme, valuations in leading franchises are already rich, thereby limiting the room for a significant upside.

POWER EQUIPMENT

Suppliers of equipment and products across the power value chain are benefiting from a strong global spending cycle driven by data centre buildouts, grid strengthening, and renewable investments. In India, this is reinforced by demand for back-up power. Fossil fuels have made a comeback, and if nuclear spending accelerates, another growth leg could open up. Amidst these positives, the risk is that a large part of this growth is already priced in, and future returns will depend on valuations.

STEEL

The global steel sector is undergoing a rebalancing, with China reducing exports to balance slowing domestic demand. Higher safeguard duties have created a floor for Indian steel prices. Locally, improved rural demand following strong monsoons and a potential pickup in passenger vehicle sales, boosted by impending GST cuts, could further support growth.

While at it, be conscious that steel remains exposed to global commodity cycles and valuations can swing sharply.

THE BOTTOM LINE

Each of these sectors is backed not just by cyclical tailwinds but also by structural drivers. But investing is never just about identifying sectors; it is about valuation discipline as well. So, prudence on when and at what price to participate may prove just as important as identifying the right sectors. **BT**

Views are personal